

Rachhpal Singh Son Of Gurdial Singh vs Swaran Kaur And Others on 19 March, 2009

Author: Rakesh Kumar Garg

Bench: Rakesh Kumar Garg

RSA No. 3194 of 2005

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In the High Court for the States of Punjab and Haryana at Chandigarh

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RSA No. 3194 of 2005

Date of decision: March 19, 2009

Rachhpal Singh son of Gurdial Singh

..Appellant.

Versus

Swaran Kaur and others

..Respondents

Coram: Hon'ble Mr. Justice Rakesh Kumar Garg

Present: Mr.M.L.Saggar, Sr. Advocate
with Ms. Taranjeet Kaur, Advocate
for the appellant
Mr. R.S.Ghumman, Advocate
for the respondents.

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Rakesh Kumar Garg, J.

This judgment of mine shall dispose of two identical appeals i.e., RSA No.3193 and 3194 of 2005 as similar question of law on similar facts is involved in both the appeals. However, for convenience sake, facts of the case have been culled out from RSA No.3194 of 2005.

The appellant filed a suit for confirmation of possession by way of specific performance of agreement dated 8.2.1988 executed by Dula son of Mehnga (predecessor-in-interest of respondents) for a total sale consideration of Rs. 63,250/- which were also paid by him to Dula at the time of execution of the agreement on account of earnest money regarding the land in dispute. As per the averments made in the plaint, the suit land was owned and possessed by Dula son of Mehnga (predecessor-in-interest of the respondents) who agreed to sell the land in dispute to the plaintiff and in this respect an agreement to sell was executed between them on 8.2.1988 and land measuring 25 Kanals 6 Marlas as detailed in the head note of the plaint was agreed to be sold for a total sale

consideration of Rs. 63,250/- along with Engine 8 HP Bore, Fan, Arra, passage and all connected rights. It was further stated that a sum of Rs. 63250/- was paid as earnest money by the plaintiff to Dula son of Mehnga and possession of the land was handed over to him by the aforesaid vendor. It was also agreed that the vendor was given one month's notice to the vendee and fixed a date for execution of the sale deed. It is the further case of the plaintiff that the suit land was purchased by Mehnga son of Gangu (father of Dula vide conveyance deed dated 29.4.1982(Ex.D1) from Tehsildar (M)-cum- (S), Kapurthala and as per the conditions of this deed, the purchaser of this land could not transfer or sell this land for a period of 10 years from the date of sale and later on this period of 10 years was raised to 20 years as per entries made in the revenue record as per policy of the State Government. So the suit land could not be transferred for 20 years and the said period of 20 years had come to an end on 29.4.2002 and after this date, there was no bar for the transfer of this suit land. It was also stated that in pursuance of the terms of agreement dated 8.2.1988, the plaintiff had been and uptil now is in possession of the suit land since the execution of the agreement to sell. The plaintiff always remained ready and willing and shall remain ready in future. It was also mentioned in the plaint that Dula had died on 1.12.1999 and the defendant-respondents were his widow and sons. The plaintiff requested the defendants on 1.5.2002 to execute the sale deed in his favour regarding the suit land as per terms of the agreement dated 8.2.1988 executed by Dula in favour of the plaintiff being his legal heirs but they refused to do so. Hence this suit.

Upon notice, defendants appeared and filed written statement raising preliminary objections that the suit was not maintainable in the present form. It was further stated that the defendants were Harijans by caste and the suit land was Nazool land which belonged to Central Government and was allotted to Mehnga being Harijan who was the father of Dula. It was further stated that as per the policy of the Government, the suit land cannot be sold to any Scheduled Caste person within a period of 20 years. Hence the alleged agreement was void and illegal and against the policy of the Government. It was also stated that Dula son of Mehnga was limited owner till his life in the land in suit as per notification No.14/2/90/LR111/4468 dated 18.3.1991 issued by the Government of Punjab duly published in gazette dated 26.3.1991 and vide this notification, restrictions were imposed on transferee of Nazool land to the effect that he cannot alienate or sell the land in any manner permanently or temporarily to any person and the said land shall go down only by inheritance. Hence Dula was not competent to enter into an agreement and had got no locus standi to enter into an agreement with any person on account of restrictions imposed by the Government and the alleged agreement if any was having no force and not binding on the defendants who were legal heirs of Dula. It was further stated that Dula never entered into an agreement with the plaintiff nor he received an amount of Rs. 63250/- as alleged. It was stated that in fact Dula was in the habit of taking liquor and had taken a loan for a sum of Rs. 10000/- from the plaintiff and the plaintiff being on better footing obtained his thumb impression on some paper under compulsion and later on prepared the false and fabricated documents. It was further stated that Dula was a small farmer and the suit land was the only source of income for him so there was no question of selling the same. All other averments made by the plaintiff were denied by the defendants that possession of the plaintiff over the suit land was also denied and prayed that the suit of the plaintiff be dismissed with costs.

Replication was filed by the plaintiff in which he denied the averments of the defendants as made in the written statement and reaffirmed the averments as made in the plaint. Out of the pleadings of the parties, following issues were framed:-

1. Whether Dula predecessor-in-interest of defendants executed an agreement of sale of suit land measuring 25 Kanals 6 Marlas on receipt of Rs. 63,250/- ?OPP
2. Whether the suit land was allotted to Mehnga Singh by the Central Government on 29.4.1982, and to what effect ?OPP
3. Whether Dula was chain drunkard and agreement to sell dated 8.2.1988 is false and frivolous and manipulated document ?OPD
4. Whether the suit is within limitation ?OPP
5. Whether the alleged agreement is null, void as Dula was a limited owner ?OPP
6. Whether Dula alienated the land in dispute in favour of his father Mehnga against conveyance deed dated 29.4.1982 ?OPD
7. Whether the plaintiff was delivered with possession on dated 8.2.1988 ?OPP
8. Whether the suit is not maintainable ?OPD
9. Whether the plaintiff is estopped from filing the suit by his act and conduct ?OPD
10. Whether the defendants are entitled to special compensatory costs under section 35-A C.P.C., if so to what amount ?OPD
11. Whether the plaintiff has no cause of action to file the present suit ?OPD.
12. relief The parties led documentary as well as oral evidence.

After hearing the learned counsel for the parties and, on going through the evidence and record of the case, the trial Court, held that Dula, predecessor-in-interest, of the defendants, executed an agreement to sell, dated 8.2.1988, in respect of the land, in dispute, for a sale consideration of Rs. 63,250/-, in favour of the plaintiff, after the receipt of entire sale consideration, as earnest money. It was further held by the trial Court that the plaintiff was, thus, entitled to confirmation of possession by way of specific performance of the agreement to sell, dated 8.2.1988. Accordingly, the suit for confirmation of possession, by way of specific performance was decreed as stated above.

It will not be out of place to mention here that under issue No.2, the trial Court observed that the suit land was allotted to Mehnga father of Dulla by Central Government on 29.4.1982 and there was no controversy between the parties regarding this fact. So no finding was required to be given on

this issue. Under issue Nos. 5 and 6 the trial Court held that the agreement was not null and void.

Feeling aggrieved against the judgment and decree of the trial Court, the defendants filed an appeal before the lower Appellate Court. It is also relevant to mention at this stage that during the pendency of the appeal, an application under Order 6 Rule 17 read with Section 151 C.P.C. for the amendment of the written statement was filed by the defendants/respondents wherein it was stated that the suit land was an evacuee property left by Muslims and was governed by provisions of Displaced Persons and Punjab Package Deal Properties (Disposal) Act, 1976, and Rules framed thereunder. It was further stated that as per the provisions of the conveyance deed, dated 29.4.1982, Ex.D1, on the file, a rider had been imposed on auction purchaser, to the effect that he could not transfer or alienate the suit land, to a non-scheduled caste person, for a period of 10 years and if the said condition was violated by him, the land transferred to him, would be resumed. Due to mistake and inadvertence, the suit land was mentioned as Nazool land belonging to the Central Government. Accordingly, a prayer was made that defendants be allowed to add evacuee/custodian property in place of Nazool land wherever it occurs in the written statement and 10 years in place of 20 years. It was further stated that the defendants be allowed to add that as per the Notification dated 18.3.1991, further restriction was imposed by the Government that the land, in dispute, could not be sold and it was to go by inheritance. It was further stated that admission of restriction of 20 years of Nazool land, in the written statement, being erroneous, could be withdrawn by the defendants. It was further stated that the amendment was essential for the just decision of the case. Accordingly, it was prayed that the same be allowed.

When this application was pending for disposal, another application for amendment of the said application, was moved, stating therein, that due to mistake and inadvertence, the appellants had mentioned the fact that a rider of 10 years, was imposed on transferee Mehnga son of Gangu, as he purchased the suit land, in a restricted auction, whereas, the same was transferred to him, on the basis of possession, as per policy, prevalent at that time, under the Punjab Package Deal Properties (Disposal) Act, 1976, and the Rules, framed thereunder. It was further stated that in the application for the amendment of the written statement, it was inadvertently mentioned, that a rider was imposed, on the auction purchaser, that he could not sell or alienate the property, in dispute, to a non-Scheduled Caste person, for a period of 10 years, and if he violated this condition, the land transferred to him, would be resumed. It was further stated that after the deletion of these lines, the appellants wanted to add that no rider was imposed upon the auction purchaser, regarding the alienation and transfer of the suit land, to any one, in any manner, at any time. It was further stated that inadvertently, in the application for amendment, it was written that the land belonged to the Central Government. After deletion of the said words, the defendants wanted to add the words "evacuee/ custodian property". It was further stated that in the application for amendment, it was inadvertently written that the Nazool Land as per Notification dated 18.3.1991, could not be sold by a person, to whom, the same was allotted, but it was to go by inheritance only. It was further stated that by deleting these words, the defendants wanted to add that such a restriction, was not imposed, in respect of the alienation of the land, in dispute, as it was not Nazool land. It was further stated that the application under Order 6 Rule 17 read with Section 151 of the Code of Civil Procedure, be allowed to be amended.

These applications were contested by the appellant/plaintiff by filing replies stating therein that the same were not maintainable. It was further stated that the defendants have taken a categorical stand that the land in dispute was a Nazool land purchased by Mehnga in a restricted auction and as such the defendants could not be permitted to take contradictory stand and withdraw the admissions made by them with regard to certain facts. The aforesaid applications for amendment of the written statement were rejected by the lower Appellate Court.

On merits of the appeal, the lower Appellate Court affirmed the findings of the trial Court holding that the agreement to sell Ex.P1 dated 8.2.1988 in respect of the suit land was executed by Dula predecessor in interest of the defendant in favour of the plaintiff after the receipt of a sum of Rs. 63250/-, the entire sale consideration as earnest money.

Under issue No.2, the lower Appellate Court held that the land was allotted to Mehnga on 29.4.1982 and it was a Nazool land which he could not alienate as per the Notification dated 18.3.1991 and the same was to go by inheritance. The findings of the trial Court on issue Nos.5 and 6 were also reversed holding that the agreement to sell Ex.P1 became void on account of notification referred to above as it became impossible for the legal heirs of Dula to enforce the contract Ex.P1 specifically as it was an unlawful agreement as per provisions of Section 56 of the Indian Contract Act. The findings of the trial Court on all other issues were upheld by the lower Appellate Court. Thus in view of these findings the agreement to sell Ex.P1 became void on account of the notification and it became impossible for the legal heirs of Dula to enforce the contract Ex.P1 and the lower Appellate Court modified the judgment and decree of the trial Court and suit of the plaintiff for recovery of a sum of Rs. 63,250/- with interest at the rate of 12 % P.A. from the date of filing of the same and at the rate of 6 % per annum from the date of the decree till its realization on the principal amount was decreed, further holding that the defendants/respondents being the legal heirs of Dula shall only be liable to pay the decretal amount in question to the extent they inherited the property of Dula and dismissed the suit of the plaintiff for confirmation of possession by way of specific performance of the agreement to sell Ex.P1 with costs.

Not satisfied with the aforesaid judgment and decree of the lower Appellate Court, the plaintiff has filed the instant appeal in this Court challenging the same. Although in his grounds of appeal, the appellant has framed as many as six questions alleged to be substantial questions of law arising out of the judgment and decree of the lower Appellate Court but what has been pressed before this court is as under:-

"Whether in the facts and circumstances of the present appeal, section 56 of the Contract Act or Section 10 of the Transfer of Property Act is applicable?"

At this stage, it will be appropriate to mention that the arguments in this case were heard on 18.3.2009 and the judgment was reserved and today it was fixed for pronouncement of the judgment. However, before the judgment could be pronounced, the appellant moved an application for permitting him to lead additional evidence and thus it was deemed appropriate to first hear the counsel for the appellant on the application for additional evidence so that no prejudice is caused to the appellant. The application filed by the appellant for leading additional evidence has been

dismissed by this court by a separate order of the even date, on the ground that the additional evidence sought to be led is beyond the stand taken by the appellant and therefore, the same is irrelevant for the decision of the controversy raised by the appellant in the present appeal.

In support of the substantial question of law raised, the learned Senior Advocate appearing on behalf of the appellant has vehemently argued that the courts below have erred at law while holding that the agreement to sell between the parties has become void by reasons of operation of law as the courts below have failed to consider the provisions of Section 10 of the Transfer of Property Act, 1982 before reaching the conclusion that agreement Ex.P1 was unlawful agreement under the provisions of Section 56 of the Indian Contract Act and under Section 10 of the Transfer of Property Act, 1882, an absolute restraint imposed upon a transferee is void. The conditions of non-alienation imposed vide Notification dated 18.3.1991 in the present case was hit by Section 10 of the Transfer of Property Act. In support of his case, learned counsel for the appellant has placed reliance upon observation of the Hon'ble Supreme Court in the case of Canbank Financial Services Ltd. Versus Custodian and others- (2004)8 SCC 355 and referred to para Nos.41 and 42 of the aforesaid judgment.

On the other hand, learned counsel for the respondents has supported the impugned judgment and decree of the lower Appellate Court and has argued that in the case in hand a decree for specific performance of the agreement to sell cannot be passed as under Section 56 of the Contract Act, 1872 by reasons of operation of law, the contract has become unenforceable and therefore, this appeal is liable to be dismissed being without any merit. In support of his case, learned counsel for the respondent has further argued that the restrictions imposed under the Nazool Land Rules are statutory and the said condition cannot be said to be invalid and the vendor was not competent to sell, the court cannot grant specific performance of agreement to sell entered by him for the sale of such land . In support of his case, learned counsel for the respondent has relied upon a judgment of the Hon'ble Supreme Court in the case of Rozan Mian Versus Tahera Begum & Ors. 2007(3) RCR (Civil) 870 and a judgment of this Court in Ajit Singh Vs. Gurcharan Singh and others 2009(1) RCR (Civil) 154.

I have heard learned counsel for the parties and perused the record of the appeal.

The facts of the case are not in dispute. It is the case of the appellant himself that the suit land was allotted to Mehnga Singh father of Dula vide conveyance deed dated 29.4.1982 (Ex.D1) by the Tehsildar (M)-cum- (Sales), Kapurthala and as per the terms and conditions of this deed, the allottee of this land could not transfer or sell this land for a period of 10 years from the date of sale and later on this period of 10 years was extended to 20 years as per the entries made in the revenue record as per policy of the State Government and the aforesaid period of 20 years expired on 29.4.2002 and after this date, there was no bar for the transfer of this suit land. It was further the case of the appellant that in pursuance of the terms of agreement dated 8.2.1988, the plaintiffs have been and uptil now remained ready and willing for the execution of the agreement to sell and on expiry of the period of 20 years, he requested the defendants on 1.5.2002 to execute the sale deed in terms of the agreement to sell executed by Dula father of the respondent. The appellant has also not disputed the fact that vide notification dated 18.3.1991, restrictions were imposed on transferee of

Nazool land that he cannot alienate or sell the land in any manner permanently or temporarily to any other person and the said land shall go down only by inheritance. It is also not in dispute that respondents had sought amendment before the lower Appellate Court in their written statement to add evacuee/custodian property in place of Nazool Land. However, this amendment sought by the respondents was contested by the appellant tooth and nail and the aforesaid application for amendment in the written statement filed by the respondents was rejected by the lower Appellate Court. Thus, from the aforesaid facts as narrated above, it is crystal clear that the stand taken by the respondents in this case is that a decree for specific performance of agreement to sell in question cannot be granted to the appellant as the aforesaid agreement in question has become void by operation of law as per the provisions of Section 56 of the Contract Act, whereas on the other hand, the contention of the appellants is that by virtue of the provisions of Section 10 of the Transfer of Property Act, the condition imposing permanent restraint of alienation upon the respondents vide Notification dated 18.3.1991 is void as provided under Section 10 of the Transfer of Property Act and therefore, there is no embargo on the right of respondents to alienate the property in dispute and since the agreement to sell in question is not disputed, the appellant is entitled to grant of specific performance of the agreement to sell in question. It is useful to reproduce Section 56 of the Indian Contract Act and Section 10 of the Transfer of Property Act, 1882, which are as under:-

" 56. Agreement to do impossible Act.- An agreement to do an act impossible in itself is void.

Contract to do act afterwards becoming impossible or unlawful.- A contract to do an act which, after the contract is made, becomes impossible, or, by reason of some event which the promisor could not prevent, unlawful, becomes void when the act becomes impossible or unlawful.

Compensation for loss through non-performance of act known to be impossible or unlawful.- Where one person has promised to do something which he knew, or, with reasonable diligence, might have known, and which the promisee did not know, to be impossible or unlawful, such promisor must make compensation to such promisee for any loss which such promisee sustains through the non-performance of the promise.

"10. Condition restraining alienation.- Where property is transferred subject to a condition or limitation absolutely restraining the transferee or any person claiming under him from parting with or disposing of his interest in the property, the condition or limitation is void, except in the case of a lease where the condition is for the benefit of the lesser or those claiming under him: provided that property may be transferred to or for the benefit of a woman (not being a Hindu, Muhammadan or Buddhist), so that she shall not have power during her marriage to transfer or charge the same or her beneficial interest therein."

In the Rozan Mian's case (supra), an agreement was entered into between the plaintiff and the defendant on 3.12.1973 for sale and purchase of Thika Tenancy. The agreement having not been

carried out, the plaintiff filed a suit on 7.2.1974 for specific performance of agreement for sale. The trial Court decreed the suit on 24.4.1990. However, the High Court upset the decree and plaintiff approached the Supreme Court. The undisputed facts of this case were that the aforesaid agreement was entered into between the parties while the Calcutta Thika Tenancy Act, 1949 was in vogue. The agreement was to sell structure without the land. There was no bar in transferring structure without the land under 1949 Act and a person purchasing the structure would have become a Thika Tenant. However, during the pendency of the suit, West Bengal Act 37 of 1981, the Calcutta Thika Tenancy (Acquisition and Regulation) Act, 1981 (hereinafter the 1981 Act) was promulgated. During the pendency of the suit, 1981 regulation was promulgated. By virtue of Section 5, all lands and interests of the landlords vested with the Government. By virtue of sub section (3) of Section 6 of the Thika Tenancy Act; transfer of thika tenancy was prohibited. By virtue of Section (2) of Section 7, any transfer in contravention of sub-Section (3) of Section 6 was void and after noticing the provisions of section 56 of the Indian Contract Act 1872, the High Court held that after the promulgation of 1981 Act by reason of operation of law, the contract has become void and the plaintiff was entitled only to the refund of consideration. While affirming the decision of the High Court, the Hon'ble Supreme Court of India observed as under:-

" Section 56 of the Indian Contract Act, 1872 (in short" the Act") provides that an agreement to do an act impossible in itself is void. A contract to do an act which, after the contract is made, becomes impossible, or, by reason of some event which the promisor could not prevent, unlawful, becomes void when the act becomes impossible or unlawful. In the present case, by virtue of 1981 Act, the land under the landlord has been vested in the State and the Thika Tenant under the landlord becomes the Thika Tenant under the State."

In Ajit Singh's case (supra), this Court has considered the following question of law:-

"(i) Whether the condition in Sale Certificate imposing restriction for a period of ten years to a Non-Harizan is against the Provisions of Section 10 & 11 of the Transfer of Property Act and is thus, void and unenforceable ?

(ii) Whether respondent Nos.1 and 3 are estopped and precluded to take the plea that respondent No.1 could not alienate the land in suit for a period of ten years from the issuance of sale certificate ?"

In the aforesaid case, in fact this Court was interpreting the Nazool Lands (Transfer) Rules, 1956 and the Notification dated 18.3.1991 and while deciding the aforesaid case, this Court had relied upon Ramachandraiah Versus Nagappa Naidu-1995(2) RRR 599 and Machegowda and others Versus State of Karnataka and others, 1984(3) SCC 301.

After considering the rival contentions, this court after relying upon Ramachandraiah's case (supra) held that if there is a bar to alienate the property, title cannot be conveyed and no court can order specific performance of an agreement where the vendor is not competent to sell the property and the only alternative is to grant damages as per the conditions made in the agreement. It was further held

that in view of the conditions imposed upon transfer of the alienation of Nazool land, the plaintiff has no right to seek a decree for specific performance of the agreement to sell.

In Ramachandraiah's case (supra), the Court had held that if there is a bar to alienate the property, titled cannot be conveyed, therefore, no court can order specific performance of an agreement where the vendor is not competent to sell property. Similarly in Machegowda's case (supra), land was granted under Karnataka Scheduled Castes and Scheduled Tribes (Prohibition of Transfer of Certain Lands) Act, 1978. Under Section 4 of the said Act, prohibition of grant of land was imposed which was subject matter of challenge before the Hon'ble Apex Court. The Hon'ble Supreme Court has observed as under:-

" It is quite clear that the condition regarding prohibition of transfer of granted land had been introduced in the interest of the grantees for the purposes of upkeep of the grants and for preventing the economically dominant sections of the community from depriving the grantees who belong to the weaker sections of the people of their enjoyment and possession of these lands and for safeguarding their interests against any exploitation by the richer sections in regard to the enjoyment and possession of these lands granted essentially for their benefit. As the Statement of Objects and Reasons indicates, this prohibition on transfer of granted land has not proved to be a sufficiently strong safeguard in the matter of preserving grants in the hands of the grantees belonging to the Scheduled Castes and Scheduled Tribes; and, in violation of the prohibition on transfer of the granted land, transfers of such lands on a large scale to the serious detriment of the interest of these poorer sections of the people belonging to the Scheduled Castes and Scheduled Tribes had taken place. In view of this unfortunate experience the Legislature in its wisdom and in pursuance of its declared policy of safeguarding, protecting and improving the conditions of these weaker sections of the community, thought it fit to bring about this change in the legal position by providing that any such transfer except in terms of the provisions of the Act will be null and void and not merely voidable. The Legislature no doubt is perfectly competent in pursuance of the aforesaid policy to provide that such transactions will be null and void and not merely voidable. Even under the Contract Act any contract which is opposed to public policy is rendered void. The State, consistently with the directive principles of the Constitution, has made it a policy and very rightly, to preserve, protect and promote the interest of the Scheduled Castes and Scheduled Tribes which by and large from the weaker and poorer sections of the people in our country. This may be said to be the declared policy of the State and the provisions seeking to nullify such transfers is quite in keeping with the policy of the State which may properly be regarded as public policy for rendering social and economic justice to these weaker sections of the society."

The judgment of the Hon'ble Supreme Court of India in Canbank Financial Services Ltd.'s case (supra) as relied upon by the counsel for the appellant is of no help to him as the facts of the aforesaid case are distinguishable. In that case, there was non-compliance with the directions issued by the Reserve Bank of India and a plea was raised that the aforesaid non-compliance has resulted

into invalidation of a contract entered into by the bank with a third party and in those circumstances, the Hon'ble Apex Court held that if a part of the transaction was contrary to the provisions of the Securities Contract (Regulation) Act, 1956 that may result in prosecution but would not result in invalidation of any contract entered into by the bank with a third party, whereas in the present case, the question before this Court is: "Whether Section 10 of the Transfer of Property Act is applicable to a grant made by the Government."

It is also relevant to mention here that a Division Bench judgment in the case of Laxmamma and etc., etc. Versus State of Karnataka and others AIR 1983 Karnataka 237 held that grant made by the Government in accordance with law cannot be treated as a transfer within the meaning of Section 5 of the Transfer of Property Act and therefore, Section 10 of the Transfer of Property Act has no obligation on the Government. Hence it follows that a condition not to alienate for ever or permanent restraint on alienation of granted land if authorized by law regulating such grants was not a void but valid condition.

Similarly in Secretary of State for India Versus Raja Parthasarathy Appa Rao and others-AIR 1926 Madras 706, it was held that A covenant in a grant restraining alienation is not void.

Thus relying upon the judgments in (i) Ramachandraiah Versus Nagappa Naidu (ii) Machegowda and others Versus State of Karnataka and others (iii) Rozan Mian Versus Tahera Begum & Ors (iv) Ajit Singh Vs. Gurcharan Singh and others and (v) Laxmamma and etc., etc. Versus State of Karnataka and others (vi) Secretary of State for India Versus Raja Parthasarathy Appa Rao and others (supra), I am of the view that in the present case Section 10 of the Transfer of Property Act has no applicability in the present case. There is no dispute that the land in dispute was allotted by the Government being Nazool Land to the appellant who belongs to a weaker section of the society and the condition prohibiting the transfer of the aforesaid land was introduced in the interest of the grantees of the said land for the purpose of upkeep of the grant and for preventing the economically dominant section of the community from depriving them of their possession of these lands and for safeguarding their interest against any exploitation by the richer section in regard to the enjoyment and possession of these lands granted essentially for their benefit and the aforesaid condition not to alienate forever regulating the allotment in favour of the respondents was not a void condition and therefore, in view of the aforesaid bar to alienate the property, the court was not competent to order specific performance of the agreement in question as the vendor was not competent to sell the property.

Thus for the aforesaid reasons, the question of law as raised by the appellant is answered against him and it is held that the condition imposed vide notification dated 18.3.1991 in the case is not hit by Section 10 of the Transfer of Property Act, 1882 and by operation of law, the agreement to sell in question has become unenforceable.

For the reasons recorded above, I find no merit in the appeal. Dismissed.

March 16, 2009
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(RAKESH KUMAR GARG)
JUDGE